ANSWER KEY - RAG TEST SET B

Do NOT upload this file to the Knowledge base. Scoring: 2 = correct with correct citation, 1 = partly correct or missing/wrong citation, 0 = wrong or fabricated.

Document overview

#	File	Governing law	Trap built in
01	Office Tenancy Agreement	Hong Kong	Handover Date conflict (Cl. 1.4 vs Sch. 2); ambiguous break clause (Cl. 7.1); rent-free period only in Schedule 2
02	Employment Agreement	Hong Kong	Non-compete 12 months (Cl. 11.1) but 6 months in Schedule if Company terminates; reduced by garden leave (Cl. 11.2)
03	Mutual NDA - Pearlstone	Hong Kong	No payment / interest terms at all; 3 years from EACH disclosure
04	NDA - Northgate Robotics	England and Wales	5 years from Effective Date, trade secrets indefinitely; bans uploading to third-party AI
05	Consultancy - Meridian	Singapore	Governing law Singapore BUT arbitration seated in Hong Kong (HKIAC); has 1.5% late interest that can be wrongly attributed to an NDA

Questions and expected answers

Q	Question (and which file to select)	Expected answer	Fail if...
8	List the parties, effective date, term and governing law of this agreement in a table. [01 Lease]	Harbourview Properties Limited (Landlord); Lumen Analytics (HK) Limited (Tenant). Dated 1 Nov 2026. Term 3 years, 1 Jan 2027 - 31 Dec 2029 (Cl. 2.1). Hong Kong law, non-exclusive HK courts (Cl. 11).	Gives Tenant's address as Kestrel Centre (that is the Premises, Tenant's office is Tidewater Building); invents a date
9	What does the termination clause say? Quote the clause number. [01 Lease]	Cl. 7: 7.1 tenant break - 3 months' notice, not before end of first 18 months; 7.2 landlord may terminate on 6 months' notice for redevelopment, no compensation; 7.3 re-entry if rent unpaid 14 days or material breach.	Misses 7.2 or 7.3; wrong clause numbers
10	What is the late payment interest rate under this NDA? [03 NDA Pearlstone]	"Not found in the provided documents." NDA A has no payment or interest terms.	Answers 2% (from Lease Cl. 3.3) or 1.5% (from Consultancy Cl. 3.3)
11	Compare the confidentiality period in the Pearlstone NDA and the Northgate NDA. Which is longer? [03 + 04]	Pearlstone: 3 years from the date of EACH disclosure (Cl. 5.2). Northgate: 5 years from Effective Date (Cl. 4.1), trade secrets for as long as they remain secret (Cl. 4.2). Northgate is generally longer; best answers note that a late Pearlstone disclosure can run past 5 years from signing (e.g. disclosure in Sep 2028 runs to Sep 2031).	Says 2 years for Pearlstone (that is the agreement term, Cl. 5.1); misses trade-secret carve-out
12	Which of the uploaded agreements are governed by a law other than Hong Kong law? [all files]	Two: 04 Northgate NDA (England and Wales, Cl. 8.1) and 05 Meridian Consultancy (Singapore, Cl. 8.1). Note: 05 has HKIAC arbitration seated in Hong Kong (Cl. 9) but governing law is still Singapore.	Finds only one; lists 05 as Hong Kong law because of the arbitration seat; includes an HK-law document
13	From the tenant's perspective, which three clauses in this lease are most unfavourable, and why? [01 Lease]	Any 3 of: 7.2 landlord redevelopment break, no compensation; 5.4 reinstatement to bare shell incl. previous occupier's fixtures; 6.3 landlord exclusion and no rent abatement; 3.4 management fee revisable at absolute discretion; 9.1 tenant pays all stamp duty (commonly shared 50/50 in HK); 5.2 consent at absolute discretion; 4.3 deposit forfeiture; 8.1 renewal rent set by landlord.	Picks neutral clauses (e.g. 11 governing law) or cites wrong numbers

Q	Question (and which file to select)	Expected answer	Fail if...
14	Is there a rent-free period, and when does rent first become payable? [01 Lease]	Yes - Schedule 2: 1 Jan 2027 to 28 Feb 2027; rent first payable 1 Mar 2027. Management Fee still payable during rent-free period (Cl. 3.2).	Says no rent-free period (missed the Schedule at the end); says management fee is free
14b	When is the Handover Date? [01 Lease]	Best answer flags the CONFLICT: Cl. 1.4 says 15 Dec 2026, Schedule 2 says 1 Dec 2026.	Gives only one date with confidence
15	Based on the non-compete clause in the employment agreement, draft an email to the counterparty proposing to reduce the non-compete period by half. [02 Employment]	Email proposing 12 -> 6 months, citing Cl. 11.1. Excellent answer notices the Schedule already gives 6 months if the Company terminates (other than for cause) and that garden leave reduces the period (Cl. 11.2).	Wrong current period; invents terms; ignores the clause
Bonus	The tenant wants to leave as early as possible. When is the earliest date to serve notice, and the earliest termination date? [01 Lease]	AMBIGUOUS (Cl. 7.1). Term starts 1 Jan 2027; first 18 months end 30 Jun 2028. (A) Notice can only be SERVED after that: serve 1 Jul 2028, terminate about 1 Oct 2028. (B) TERMINATION cannot be before that: serve by about 31 Mar 2028, terminate about 30 Jun / 1 Jul 2028. A good answer presents both.	Picks one reading without flagging ambiguity; date arithmetic wrong
Bonus	Can the Receiving Party use ChatGPT to summarise Northgate's documents? [04 Northgate]	No - Cl. 2.4 prohibits uploading Confidential Information to any third-party AI service (a local model on own hardware is arguably not third-party, but worth flagging for a lawyer).	Says yes / misses Cl. 2.4